EUROPEAN COMMISSION
DG Competition

Case M.11204 – BUNGE / VITERRA

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 14/04/2025

EUROPEAN COMMISSION

Brussels, 14.4.2025
C(2025) 2439 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Bunge Global SA
Route de Florissant 13
1206 Geneva
Switzerland

Subject: Case M.11204 – BUNGE / VITERRA
Approval of Louis Dreyfus Company as purchaser of the Hungarian Divestment Business and the Polish Divestment Business following your letter of 3 December 2024 and the Trustee's opinion of 7 April 2025

Dear Sir or Madam,

1. FACTS AND PROCEDURE

(1) By decision of 1 August 2024 (the 'Decision') based on Article 6(1)(b) in connection with Article 6(2) of Council Regulation (EC) No 139/2004 (the 'Merger Regulation') ([1]), the Commission declared the acquisition within the meaning of Article 3(1)(b) of the Merger Regulation by Bunge Global S.A. ('Bunge') sole control of Viterra Limited ('Viterra', and together with Bunge 'the Parties') compatible with the internal market following modification by Bunge, subject to conditions and obligations (the 'Commitments').

([1]) Council Regulation (EC) No 139/2004 of 20 January 2004 on the control of concentrations between undertakings, OJ L 24, 29.1.2004, p. 1.

(2) In particular, the Commitments provide that Bunge divest Viterra's entire business in Hungary (the 'Hungarian Divestment Business') and Poland (the 'Polish Divestment Business') with certain exceptions (together, the 'Divestment Business'). The Hungarian Divestment Business consists of Viterra's entire business in Hungary, including but not limited to the following legal entities in Hungary: (i) Viterra Növényolajgyártó Kft ('VVOM'), (ii) Viterra Hungary Kft ('VIH'), and (iii) Viterra Logisztikai Kft ('VIL'), and the Polish Divestment Business consists of Viterra's business in Poland, including but not limited to the following legal entities in Poland: (i) Viterra Bodaczów sp. z o. o. ('Viterra Bodaczów'), (ii) Viterra Polska sp. z o.o. ('Viterra Polska'), and (iii) Viterra Silos sp. z o. o. ('Viterra Silos'), as defined in paragraph 6 of the Commitments and with the exception of those assets and personnel set out in paragraphs 4 and 7 of the Schedule to the Commitments.

(3) By letter of 3 December 2024, the Parties proposed Louis Dreyfus Company Suisse S.A. ('LDCS'), a wholly owned subsidiary of Louis Dreyfus Company B.V. (together with LDCS 'LDC') for approval by the Commission as purchaser of the Hungarian Divestment Business and the Polish Divestment Business (the 'Transaction') and submitted two separate proposed share purchase agreements for the sale of the Polish Divestment Business and the Hungarian Divestment Business to LDC (the 'Polish SPA' and the 'Hungarian SPA', and together the 'SPAs'). On the 7 April 2025, S&W Partners (the 'Trustee') has submitted an assessment of LDC's suitability as a purchaser and, in particular, has indicated that it fulfils the criteria of the purchaser requirements in section D of the Commitments attached to the Decision (the 'Reasoned Opinion'). In this assessment, the Trustee also indicated that, on the basis of the Proposed Agreement, the Divestment Business would be sold in a manner consistent with the Commitments.

2. ASSESSMENT OF THE PROPOSAL

(4) The sale of the Divestment Business to LDC is subject to the Commission's approval. In order to assess whether LDC is a suitable purchaser for the Divestment Business, the Commission verifies that is it independent from the Parties, that is has the financial resources, proven expertise and incentive to maintain and develop the Divested Business as a viable and active competitor, and that an acquisition by LDC does not give rise to prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(5) LDC is a global merchant and processor of agricultural goods, headquartered in Rotterdam, Netherlands. It is involved in sourcing, transforming, and delivering agricultural products, including oilseeds and grains, with numerous assets and facilities across Europe, the Americas and Asia. The company employs approximately 18,000 people and reported revenues of USD 50.6 billion in 2023.

(6) LDC is ultimately controlled by the Louis Dreyfus family through [details of the Parties' corporate structure] (55% shareholding) and the Government of Abu Dhabi through the Abu Dhabi Developmental Company P.J.S.C. (45% shareholding).

2.1. Independence from the Parties

(7) Pursuant to paragraph 18 of the Commitments, the Purchaser shall be independent of, and unconnected to, the Parties and their affiliated undertakings with independence being assessed based on the situation following the divestiture. Based on the information provided by Bunge and the Trustee, the Commission considers that this criteria is fulfilled by LDC.

(8) **First**, according to the information provided by Bunge and the Trustee, there are no cross-shareholdings between LDC and the Parties. ([2])

(9) Neither LDC, nor any of its affiliates have any direct or indirect ownership interests in Bunge, Viterra, or any of their affiliates. No director of LDC, nor any of its affiliates is serving as a member of the board of Bunge or Viterra.

(10) Similarly, neither Bunge, nor Viterra, or any of their respective affiliates have any direct or indirect ownership interest in LDC and its affiliates. No director of Bunge, Viterra, or their respective affiliates, is on the board of any entity controlled by LDC or its affiliates.

(11) **Second**, although LDC holds shares in three non-EEA based JVs together with Bunge and Viterra (Covantis S.A. ('Covantis'), Complejo Agroindustrial Angostura Sociedad Anónima ('CAIASA'), and Operadora Ferroviaria S.A. ('Operadora Ferroviaria')), none of those shareholdings affect LDC's independence vis-à-vis Bunge and Viterra.

(12) This is because the commercial links through the three JVs in which LDC and Bunge and Viterra are partners are likely to be limited to business activities outside the EEA and relate to different services from those of the Divestment Business: ([3])

(a) Covantis offers a blockchain platform to manage shipping transactions and is a non-EEA JV as it is a Swiss-based entity. The Parties' non-controlling minority stakes in Covantis do not offer any visibility into each other's agricultural commodities trading operations. The Covantis Platform is exclusively utilised to simplify post-trade execution processes, for instance by providing data and documents that facilitates the preparation of the documentation to transport commodities and by providing information in real time that enables firms to track all stages of vessel transportation, from loading to transit to discharge. The data relating to a particular firm is only accessible by that firm. ([4])

(b) CAIASA is based in Paraguay (non-EEA) and, as such, the gravity of its operations lies in a different geographic region/continent than those of the Divestment Business. To illustrate this, LDC submitted that CAIASA's activity represents approximately […]% of LDC's crush volumes and oil flows in Paraguay versus […]% of LDC's crush volumes and oil flows globally, and approximately […]% of the soybeans originated by LDC in Paraguay versus […]% of the soybeans originated by LDC globally.

(c) Operadora Ferroviaria is based in Argentina (non-EEA), it is currently non-active, [details of the parties' business activities].

([2]) Reasoned Proposal, paragraphs 7 and 8; Reasoned Opinion, paragraph 4.2.3.
([3]) Reasoned Opinion, paragraph 4.6.2.
([4]) Bunge's response to RFI 15 dated 15 December 2024.

(13) **Third**, as customary in this industry, LDC occasionally supplies Bunge and Viterra with certain agri-products (mostly outside of the EEA) and vice-versa. However, from a commercial perspective, there are no significant commercial links between LDC and Bunge or Viterra which would give rise to any dependencies. ([5])

(14) In particular, the volume of LDC's purchases from and sales to Bunge and Viterra represent a very small proportion of LDC's total purchases and sales. Sales to Bunge represent […]% of the total LDC's sales, and sales to Viterra represent […]% of the total LDC's sales. Purchases from Bunge represent […]% of total LDC's purchases. Purchases from Viterra represent […]% of total LDC's purchases. ([6])

(15) In addition, these commercial links are governed by the standard terms applicable to the purchase/sale of the relevant commodities. ([7])

(16) **Fourth**, although there will be a limited number of transitional service agreements between the Divestment Business and the Parties, these are in line with the Commitments. ([8])

(17) On the basis of the information provided by Bunge and taking into account the Reasoned Opinion submitted by the Trustee, the Commission therefore concludes that LDC is, and will continue to be, independent from, and unconnected to, Bunge and Viterra and its affiliated undertakings.

2.2. Financial resources, proven expertise and incentive to maintain and develop the Divested Business as a viable and active competitor

(18) Pursuant to paragraph 18(b) of the Commitments, the Purchaser shall have the financial resources, proven expertise in the trading and procurement of agricultural commodities and the operation of crush and refining plants, and the incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

2.2.1. Financial resources

(19) In 2023, LDC generated a turnover of approx. USD 50.6 billion, with an EBITDA of approx. USD 2.2 billion. In the first 6 months of 2024, LDC's net sales and EBITDA were in line with 2023 figures. The key financial metrics confirm the healthy leverage and liquidity ratios as shown in the table ([9]) below.

$USD Millions			
Category	**2022**	**2023**	**HI 2024**
EBITDA	2.347	2,222	1,057
Net Sales	59,931	50,624	25,582
CAPEX/Investments	549	636	299
Cash and Cash Equivalents	1,184	1,498	1,251
Adjusted Net Debt	422	139	1,107
Adjusted Leverage Ratio	0.2 x	0.1 x	0.5 x
Liquidity Coverage Ratio	3.7 x	5.2 x	3.1 x

([5]) Reasoned Proposal, paragraph 12; Reasoned Opinion, paragraphs 4.4.20-4.4.22.
([6]) Reasoned Opinion, paragraph 4.4.21.
([7]) Reasoned Opinion, paragraph 4.4.21.
([8]) Reasoned Opinion, paragraph 4.6.2.
([9]) https://www.ldc.com/news-and-insights/reports-and-publications/

(20) This is confirmed by the Trustee's assessment which concludes that "*LDC has the necessary financial resources to maintain and develop the Divestment Business*." ([10])

(21) The Commission therefore considers that LDC's strong financial position and considerable scale provide a solid foundation that has the potential to maintain and develop the Divestment Business as a viable and active competitor.

(22) With regards the funding of the acquisition by LDC the Trustee estimated in its Reasoned Opinion a range based on two estimates, Bunge's estimate – USD […] and LDC's estimate - USD […] and considered the range of USD […] to assess LDC financial resources to directly fund the Transaction. ([11])

(23) **First**, on 30 June 2024, cash and cash equivalents stood at USD 1,251 million according to LDC's consolidated financial statements of June 2024. ([12])

(24) **Second**, the Trustee following exchanges with LDC's Global Head of Treasury and financing confirmed that as of 30 June 2024, the LDC Group also had more than USD 4.4 billion of undrawn committed bank lines with maturities beyond one year with revolving credit facilities ('RCFs') in three of its regional hubs and that available liquidity which comprises current financial assets, RMIs and undrawn committed bank lines stood at USD 12 billion as of 30 June 2024. ([13])

(25) **Third**, in addition to the cash and cash equivalents balance as at 30 June 2024, on 15 October 2024 LDC announced the successful pricing of a EUR 650 million 7-year senior bond (BBB+) with a 3.5% coupon guaranteed by LDC. The application was made to list the bond on the Luxembourg Stock Exchange. ([14]) This bond issue of EUR 650 million had to date [details of the parties' contractual relationships with third parties].

(26) The Commission considers that, based on the information provided by LDC (and verified by the Trustee), LDC has sufficient liquidity – through cash reserves and, if required, the EUR 650 million Bond Issue – to finance the acquisition of the Divestment Business, on the basis of the estimated Consideration of between USD […].

2.2.2. Proven expertise

(27) In order to be approved by the Commission, the Purchaser must meet the requirements listed in paragraph 18 of the Commitments which specifically require "*proven expertise in the trading and procurement of agricultural commodities and crush refining plants*".

(28) **First**, LDC has an extensive experience in trading and procuring agricultural commodities, supported by a network active across various agricultural industries. The Trustee verified these claims, confirming that LDC effectively engages in trading operations worldwide, sourcing products from major regions like the United States, South America, Australia, and Eastern Europe. Their marketing reach spans numerous European countries, evidencing their trading capabilities.

([10]) Reasoned Opinion, paragraph 5.5.2.
([11]) Reasoned Opinion, paragraph 5.2.15.
([12]) https://www.ldc.com/news-and-insights/reports-and-publications/
([13]) Reasoned Opinion, paragraph 5.2.19.
([14]) https://www.ldc.com/wp-content/uploads/Prospectus_2024-10-18.pdf

(29) **Second**, LDC has an expertise in operating crushing and refining plants for oilseeds, with facilities across multiple countries, including Brazil, China, and India. The Trustee confirmed LDC's capabilities, noting that LDC operates 16 oilseeds crushing assets in 7 countries and [details of the parties' investment strategy] ([15]). LDC provided an overview of its crushing assets globally as described in the table below.

[Details of the parties' commercial activites]

(30) With regards refining, LDC's [details of the parties' business activities]. ([16]) Further, LDC operates soybean oil refineries in Brazil, China and India. LDC markets the refined oil as [details of the parties' business activities]. ([17])

(31) **Third**, LDC emphasises its successful track record in acquiring and integrating agricultural businesses. LDC's management has effectively grown the company by consolidating existing operations and expanding into new markets since its formation in 2006, notably entering regions such as Indonesia, Vietnam, and parts of the Middle East and Africa ([18]). LDC confirms its experience in swiftly integrating third-party businesses, as exemplified by the successful growth of recent acquisitions like Emerald Grain and Sinarmas. LDC plans to integrate the Divestment Business [details of the parties' investment strategy].

(32) The Commission therefore considers, based on LDC expertise in the trading and procurement of agricultural commodities, the operation of crush and refining plants and track record in acquisitions and integrations in the agriculture sector that LDC has the proven expertise, to maintain and develop the Divestment Business as a viable and active competitor.

2.2.3. Incentive to maintain and develop the Divestment Business

(33) **First**, The Divestment Business's [details of the parties' investment strategy]. ([19])

(34) **Second**, in Hungary, [details of the parties' investment strategy] ([20]). [Details of the parties' investment strategy] ([21]) [details of the parties' investment strategy] ([22]).

(35) **Third**, in Poland, [details of the parties' investment strategy] ([23]). [Details of the parties' investment strategy] ([24]) [details of the parties' investment strategy] ([25]). The integration plan indicates that these operations will be incorporated into [details of the parties' investment strategy].

(36) Based on the plans presented by LDC and reviewed by the Trustee, LDC appears well-positioned to effectively maintain and develop the Divestment Business. The transaction enables LDC to expand its presence in Central and

([15]) Reasoned Opinion, paragraph 3.3.6.
([16]) Reasoned Opinion, paragraph 5.3.12.
([17]) Reasoned Opinion, paragraph 5.3.12.
([18]) Reasoned Opinion, paragraph 5.3.25.
([19]) Reasoned Opinion, paragraph 5.3.29.
([20]) Reasoned Opinion, paragraph 5.4.16.
([21]) Reasoned Opinion, paragraph 5.4.1.
([22]) Reasoned Opinion, paragraph 5.4.13.
([23]) Reasoned Opinion, paragraph 5.4.30.
([24]) Reasoned Opinion, paragraph 5.4.30.
([25]) Reasoned Opinion, paragraph 5.4.14.

Eastern Europe given the strategic location of the Divestment Business near key oilseed areas and demand markets ([26]). There are no concerns regarding the viability of operations following the transfer.

(37) In addition, LDC has explained that it intends to integrate the Divestment Business [details of the parties' investment strategy] ([27]). [Details of the parties' investment strategy]. LDC further explained that it has plans to [details of the parties' investment strategy]. ([28])

(38) The Commission therefore considers that LDC has a strong incentive to maintain and develop the Divestment Business as a viable and active competitor in the market.

2.3. Absence of prima facie competition concerns or implementation risks

(39) According to paragraph 18(c) of the Commitments, the acquisition of the Divestment Business by the Purchaser must neither be likely to create, in light of the information available to the Commission, prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

2.3.1. Absence of prima facie competition concerns

(40) The acquisition of the Divestment Business by LDC results in a concentration pursuant to the Merger Regulation. The Transaction was notified to the Commission on 15 January 2025 under case reference M.11827 pursuant to Article 4 of the Merger Regulation.

(41) After examination of the notification, the Commission concluded that the notified operation falls within the scope of the Merger Regulation and of paragraph 5(d) of the Commission Notice on a simplified treatment for certain concentrations under Council Regulation (EC) No 139/2004. ([29])

(42) On the 6 February 2025 the Commission decided to declare it compatible with the internal market and with the Agreement on the European Economic Area ([30]). That decision was adopted in application of Article 6(1)(b) of the Merger Regulation and Article 57 of the EEA Agreement. ([31])

2.3.2. Absence of other implementation risks

(43) The Transaction is notifiable under the foreign direct investment ('FDI') regimes of Hungary and Poland. It also triggers a filing under Regulation (EU) 2022/2560 of the European Parliament and of the Council of 14 December 2022 on foreign subsidies distorting the internal market ([32]) ('FSR') filing in the EU.

(44) **First**, on the basis of the information made available to the Commission by the Parties and the Reasoned Opinion of the Trustee, the Commission takes the view

([26]) Reasoned Opinion, paragraph 5.5.4.
([27]) Reasoned Opinion, paragraph 5.3.28.
([28]) Reasoned Opinion, paragraph 5.3.28.
([29]) OJ C 160, 5.5.2023, p. 1 (the 'Notice on a simplified treatment').
([30]) OJ L 1, 3.1.1994, p. 3 (the 'EEA Agreement').
([31]) Case M.11827 – LDC / Viterra Assets, 6 February 2025.
([32]) Regulation (EU) 2022/2560 of the European Parliament and of the Council of 14 December 2022 on foreign subsidies distorting the internal market, OJ L 330, 23.12.2022, p. 1–45.

that the FDI review of the Transaction in Poland and Hungary will not give rise to a risk of delayed implementation of the Commitments.

(45) **Second**, the Commission also does not consider that the review of the Transaction under the FSR is likely to give rise to implementation risks.

(46) As a result, the Commission does not consider that those additional regulatory filings are likely to give rise to a risk that the implementation of the Commitments will be delayed.

(47) In view of the foregoing and taking into account the Reasoned Opinion submitted by the Trustee, the Commission considers that the acquisition by LDC Divestment Business does not give rise to prima facie competition concerns nor to a risk that the implementation of the Commitments will be delayed.

3. ASSESSMENT OF THE PROPOSED AGREEMENTS

(48) On 3 December 2024, the Parties signed two separate share purchase agreements for the sale of the Polish Divestment Business and the Hungarian Divestment Business to LDC (the 'Polish SPA' and the 'Hungarian SPA', and together the 'SPAs'). On 26 February 2025, following discussions on material points raised by the Commission, the Parties signed an amendment to the SPAs (the 'SPA Amendment'). The Commission considers that the SPAs, together with the SPA Amendment, is compliant with the Commitments for the following reasons.

3.1. Scope

3.1.1. Hungarian divestment business

(49) The divestment involves three key legal entities in Hungary: Viterra Növényolajgyártó Kft (VVOM), Viterra Hungary Kft (VIH), and Viterra Logisztikai Kft (VIL). VVOM is responsible for the operation of the Foktő crush and refining plant, VIH focuses on origination and marketing, and VIL handles elevator operations.

(50) According to Schedule 4, Clause 9.1 of the Hungarian SPA, this divestment includes essential tangible assets such as the Foktő Plant, associated land, equipment critical for operations, and Hungarian elevator systems. Additionally, it includes a minority shareholding in Centroport. Intangible assets, mainly software licenses critical for operations, are detailed for transfer in Schedule 4, Clause 19 of the Hungarian SPA.

(51) Regarding personnel, all staff listed in Exhibit 3 of the Commitments are to be transferred, including key management and operational staff, as noted in Section 1 and Schedule 11 of the Hungarian SPA. Exclusions include certain regional managers. The Hungarian SPA also allows for transitional services, encompassing IT and compliance support, for up to […] months post-closure, as outlined in Schedule 9.

3.1.2. Polish divestment business

(52) The Polish divestment includes Viterra Bodaczów sp. z o. o., responsible for the Bodaczów plant's operations, Viterra Polska sp. z o. o., engaged in origination and marketing, and Viterra Silos sp. z o. o., which manages elevator operations in Poland.

(53) The main tangible assets, including the Bodaczów Plant, essential equipment, and office spaces, are specified in Schedule 4, Clause 9.1 of the Polish SPA. Furthermore, intangible assets, primarily software licenses, are arranged for transfer under Schedule 4, Clause 19.

(54) Personnel transfers include those necessary for the divestment business, with exclusions for individuals engaged in unrelated operations, detailed in Section 1 and Schedule 12. The Polish SPA specifically handles carve-outs, excluding certain non-core operations such as grain businesses in Schedule 9, ensuring the focus remains solely on divestment-related activities.

3.2. Implementation modalities

(55) The Commission raised three material issues in relation to the SPAs.

(56) **First**, the SPAs as signed on 3 December 2024 were not in line with clause 8 of the Commitments relating to the CAPEX investment obligation, which stipulates that: "*Bunge undertakes to make available to the Purchaser CAPEX funding to fund investment projects in Hungary and Poland specified in Exhibit 1, provided that: (i) the Purchaser demonstrates that the funds will be used to fund the investment projects mentioned above; and (ii) the Purchaser requests the funds within* […] *of the date of Closing*." In particular, clause 10.2 of the Polish SPA and clause 9.2 of the Hungarian SPA provided that the Seller would pay the entire CAPEX funding (or 'CAPEX amount') to LDC at closing (instead of if and when LDC would request it), and LDC would commit to use it within […] and only for the purpose of funding projects listed in an exhibit to the SPAs. In addition, no monitoring mechanism was put in place to verify that the disbursement of the CAPEX amount (or part thereof) would be done in compliance with the Commitments.

(57) Following discussions with the Commission, the SPA Amendment modified clause 10.2 of the Polish SPA and clause 9.2 of the Hungarian SPA to provide that the Parties will deposit the CAPEX amount in an escrow account at closing, and that the CAPEX amount (or parts thereof) would be released to LDC at its request (within the […] from the completion date) provided that it first demonstrates (in a form acceptable to the Trustee) that the amount to be released shall be utilised solely for the purposes of funding capital expenditures in respect of the investment projects listed in the SPAs.

(58) **Second**, the Polish SPA as signed on 3 December 2024 was not in line with clauses 13 and 14 of the Commitments which provides that: "*The Parties undertake that the Viterra traders in Poland listed in Exhibit 2 that are retained by the Parties will not solicit the customers of the Divestment Business for a period of […] after Closing*." In particular, the Polish SPA did not include any non-solicitation of customers clause.

(59) Following discussions with the Commission, the SPA Amendment inserted a new clause in the Polish SPA providing the necessary non-solicitation obligations.

(60) **Third**, to address the Commission's concerns regarding the continuity of the railway service, which is critical for the Hungarian Divestment Business, Bunge committed to include the railway services agreement within the scope of the Transitional Service Agreements ('TSA'). This is reflected in the SPA Amendment via modification of Clause 6.4(a) of the Hungarian SPA which sets

out that the full terms for the provision of rail cars will be included as a Schedule to the TSA.

(61) The Trustee confirmed ([33]) that the above-described modifications to the SPAs signed on 3 December 2024 render the SPAs compliant with the Commitments.

(62) The Commission considers that, based on the above, the SPAs as modified by the SPA Amendment, are compliant with the Commitments.

4. CONCLUSION

(63) For the above-mentioned reasons, the Commission approves LDC as a suitable purchaser.

(64) On the basis of the SPAs, the Commission further concludes that the Divestment Business is being sold in a manner consistent with the Commitments.

(65) This Decision only constitutes approval of the proposed purchaser identified herein and of the Proposed Agreement. It does not constitute a confirmation that Bunge has complied with its Commitments.

(66) This Decision is based on section D of the Commitments attached to the Commission Decision of 1 August 2024.

For the Commission

(Signed)
Olivier GUERSENT
Director-General
Directorate-General for Competition

([33]) Reasoned Opinion, paragraph 2.5.3.